

Solarworld Energy Solutions Ltd.

Company Overview:

Solarworld Energy Solutions Ltd. (SESL) is engaged in providing solar energy solutions, specializing in Engineering, Procurement and Construction (EPC) services for solar power projects. The company offers its services through two distinct models namely capital expenditure (CAPEX) model and the renewable energy service company (RESCO) model. Under the CAPEX model, SESL provides end-to-end solutions from designing, installation, setting up and commissioning the projects on a turn-key basis for customers, while the ownership rights of the projects lie with the customers. Under the RESCO model, the power purchaser is not required to incur any capex for the solar power project. Instead SESL installs, owns and operates the projects, with the customers purchasing the generated power at fixed tariffs agreed upon through long-term power purchase agreements (PPA). Under both the models, SESL also provides Operations and Maintenance (O&M) services depending on clients' requirements. The company's customer mix includes key customers such as SJVN Green Energy, Haldiram Snacks Pvt. Ltd., Ethnic Food Manufacturing Pvt. Ltd. and Samiksha Solarworld Pvt. Ltd.

Key Highlights:

1. Strong in-house execution capabilities with established track record: SESL's end-to-end in-house capabilities helps provide solar EPC solutions for PSUs ranging from 10 MW to several hundred MW and C&I clients ranging from 1 KW to several hundred MW. As of Jul'25, the company had completed 46 projects. It has 6 ongoing projects with a capacity of 765 MW AC / 994 MW DC for EPC and 2 ongoing BESS (Battery Energy Storage System) projects with a capacity of 325 MW/650 MWh.

2. Robust order book: The company has a robust order pipeline that provides medium term revenue visibility. As of Jul'25, cumulative order book for SESL stood at Rs 2,528 cr - EPC Rs 1,198 cr, O&M Rs 58 cr and BESS Rs 1,272 cr.

3. Focus on backward integration: SESL has recently established a TopCon solar modules manufacturing facility with an annual capacity of 1.2 GW. It is also adding a BESS production line with an annual capacity of 2 GW in Uttarakhand and also plans to setup a manufacturing facility for solar PV TopCon cell with an annual capacity of 1.2 GW at Pandhurana, Madhya Pradesh. The proposed capex plans would help in backward integration resulting in margin expansion.

4. Asset light business model: SESL operates under an asset-light business model under the CAPEX model, where the customer handles land acquisition. This approach minimizes capex and fixed costs and provides financial flexibility and scalability to meet customers need, offer customized solutions, and respond swiftly to changing market conditions. The company's EPC contracts are typically shorter in duration ranging from 11 to 18 months, which allow the company to maintain a low working capital base.

Valuation: SESL provides EPC services for solar power installations across both ground and rooftop levels to PSUs and State Utilities as well as to private Commercial and Industrial (C&I) enterprises. It has also ventured into the Battery Energy Storage System (BESS) segment and is executing 2 projects currently. The company is backward integrating into manufacturing of critical equipment such as solar modules and cells as well as energy storage batteries which it procures from external vendors currently. The 1.2 GW solar module line was commissioned recently and the capex for the BESS is in progress. SESL also intends to setup a 1.2 GW solar cell line which will be partly funded from the proceeds of the IPO. These measures will help improve SESL's EPC project margins and provide reliable supply of critical components. At the upper price band of Rs 351, the company is valued at FY25 P/E multiple of 39.5x on post-issue capital.

Issue Details	
Date of Opening	23 rd September 2025
Date of Closing	25 th September 2025
Price Band (Rs)	333 -351
Issue Size (Rs cr)	490
Fresh Issue (Rs cr)	440
Offer for Sale (Rs cr)	50
No. of shares (@ upper band)	1,39,60,114
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	2,909 – 3,042
BRLMs	Nuvama Wealth Management Ltd., SBI Capital Markets Ltd.
Registrar	MUFG Intime India Pvt. Ltd.
Bid Lot	42 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from gross proceeds (Rs cr)
Investment in subsidiary, KSPL for part-financing the establishment of the Pandhurana Project	420.0
General corporate purposes	20
Total proceeds from fresh issue	440

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,83,39,886	78.7
Public & Others	1,57,97,156	21.3
Total	7,41,37,042	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	5,69,15,385	65.7
Public & Others	2,97,57,270	34.3
Total	8,66,72,655	100.0

Source: RHP, SSL Research

Note: SBI Capital Markets Ltd. is the BRLM to the issue and hence as per compliance led restrictions, SBI Securities Ltd. cannot assign any rating to the issue. IPO note can be used to understand the business model and decode the key operational and financial metrics.

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	232.5	501.0	544.8
EBITDA	22.9	71.1	106.7
PAT	14.8	51.7	77.0
EBITDA Margin (%)	9.8	14.2	19.6
PAT Margin (%)	6.4	10.3	14.1
ROE (%)	102.4	108.3	40.3
ROCE (%)	38.8	86.6	54.5
P/E (x)*	175.4	50.3	32.9
EV/EBITDA (x)*	115.7	36.9	24.3
P/BV (x)*	118.8	35.4	8.4
Total Debt / Equity	3.0	0.8	0.4

Source: RHP, SSL Research

*Note: Pre-issue P/E (x), P/BV (x) and EV/EBITDA (x) based on upper price band

Risk Factors

- **Customer concentration:** The company derived ~79-91% of its revenue during FY23-25 from a single customer, SJVN Green Energy Ltd. The loss of such customers might adversely impact SESL's business operations.
- **Cost overrun risk:** The company might be unable to accurately estimate costs under fixed-price EPC contracts. Any significant cost overruns might affect normal business operations and affect working capital requirements.
- **Supply chain disruption:** Any restrictions in supply or failure of supply or defects in quality could cause delays in project construction or implementation and impair SESL's ability to provide services within budgets.
- **Inability to win bids:** SESL's business strategy depends on the ability to continually win bids for solar power projects. Inability to win order might adversely impact business operations.

Growth Strategies

- Invest in manufacturing capabilities for solar modules, BESS and solar PV TopCon cell.
- Grow customer base by diversifying into newer geographies and maintain relationships with key customers and other stakeholders.
- Capitalize on the growing domestic demand for renewable energy in India by expanding portfolio and scale of operations.
- Establish strong research and development capabilities to drive innovation and technological advancement.

Segment-wise Revenue Split

Particulars	FY23		FY24		FY25	
	Rs cr	as % of Revenue	Rs cr	as % of Revenue	Rs cr	as % of Revenue
EPC	229.8	98.9	496.0	99.0	477.9	87.7
Sale of products	0.4	0.2	0.3	0.1	61.1	11.2
Sale of services (O&M + Other)	2.2	0.9	4.4	0.9	5.7	1.0
Sale of Scrap	-	-	0.3	0.1	0.1	0.0
Total	232.5	100.0	501.0	100.0	544.8	100.0

Source: RHP, SSL Research

Customer-wise Revenue Split

Particulars	FY23		FY24		FY25	
	Rs cr	as % of revenue	Rs cr	as % of revenue	Rs cr	as % of revenue
Government Customers	204.5	88.0	456.8	91.2	438.1	80.4
Private Customers	27.9	12.0	44.3	8.8	106.6	19.6
Total	232.5	100.0	501.0	100.0	544.8	100.0

Source: RHP, SSL Research

Order Book Split (as of Jul'25)

Particulars	No. of projects	Outstanding order value (Rs cr.)	Capacity
EPC	6	1,198	765 MW AC / 994 MW DC
BESS	2	1,272	325 MW /650 MWh
O&M	36	58	985 MW AC/1,291 MW DC
Total	44	2,528	

Source: RHP, SSL Research

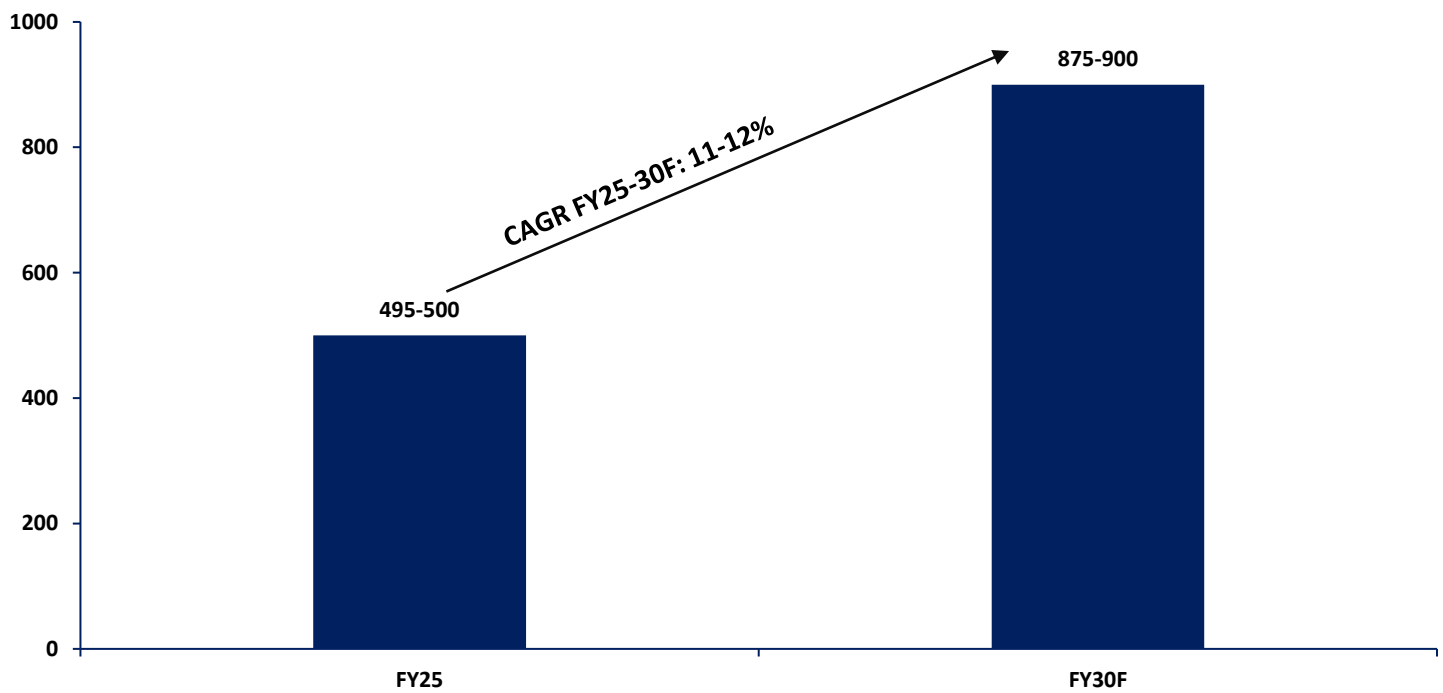
Operational KPIs

Particulars	FY23	FY24	FY25	Jul'25
Order Book (Rs cr.)	535	813	1,701	2,528
Contracted capacity during the year	168 MW DC	582 MW DC	376 MW DC for EPC and 125 MW/250 MWH for BESS	765 MW AC/ 994 MW DC for EPC and 325 MW/650 MWH for BESS
Commissioned capacity during the year	105 MW DC	170 MW DC	24 MW DC	NA
O&M served during the year	28 MW DC	119 MW DC	299 MW DC	NA

Source: RHP, SSL Research

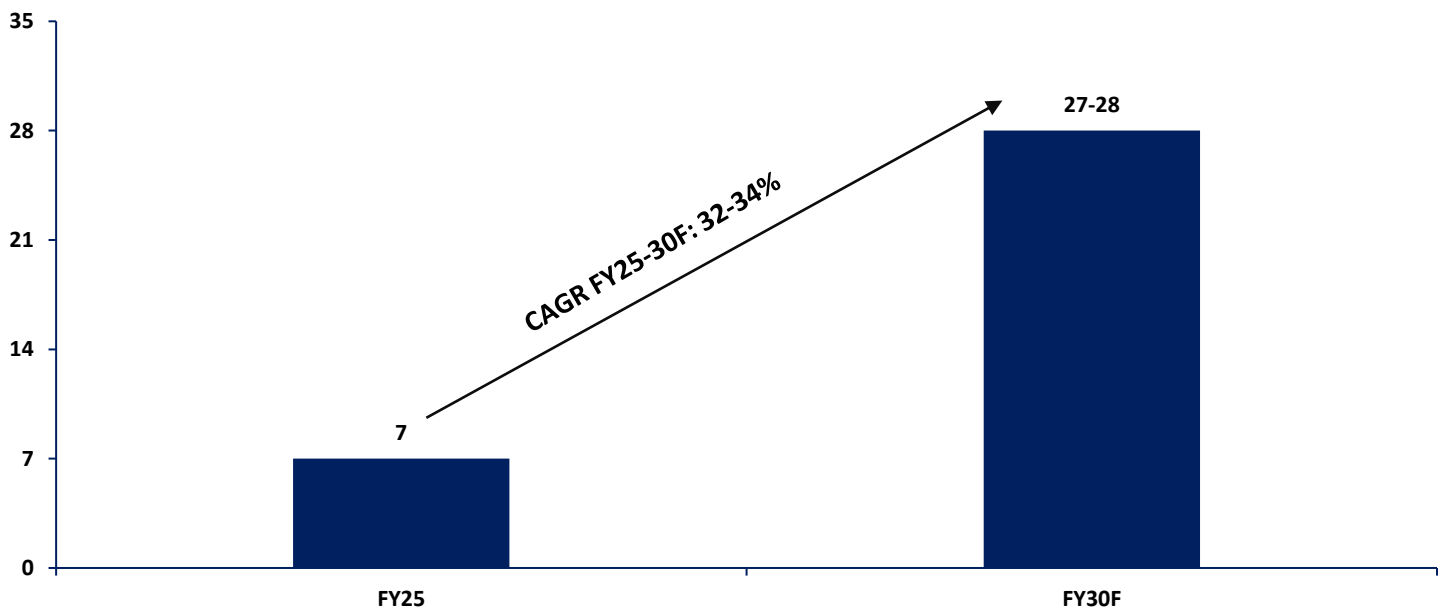
Industry Overview

Third party solar EPC market India, FY25-30F (in Rs bn)



Source: RHP, SSL Research

India third party solar O&M services, FY25-30F (in Rs bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	232	501	545
YoY growth (%)	-	115.5%	8.7%
Cost of Materials Consumed	182	382	342
Gross Profit	50	119	202
Gross margin (%)	21.7%	23.8%	37.1%
Employee Cost	0.5	1	11
EPC Expenses	25	44	53
Other Operating Expenses	3	6	29
EBITDA	23	71	107
EBITDA margin (%)	9.8%	14.2%	19.6%
Other Income	3	4	6
Interest Exp.	6	7	6
Depreciation	0.2	0.4	0.2
PBT	18	66	109
Exceptional item/Extraordinary item	-	-	(2.1)
Tax	4	17	30
PAT	15	52	77
PAT margin (%)	6.4%	10.3%	14.1%
Adj. PAT	15	52	79
PAT margin (%)	6.4%	10.3%	14.5%
Adj. EPS	2.0	7.0	10.7

BALANCE SHEET			
Particulars (Rs cr)	FY23	FY24	FY25
Assets			
Net Block	1	1	37
Capital WIP	-	-	88
Goodwill	-	1	-
Other Non-current Assets	8	10	38
Current Assets			
Current Investment	-	-	-
Inventories	2	2	2
Trade receivables	21	30	144
Cash and Bank Balances	18	41	127
Short-term loans and advances	25	-	22
Other Current Assets	46	71	140
Total Current Assets	111	144	435
Current Liabilities & Provisions			
Trade payables	11	12	63
Other current liabilities	21	8	109
Short-term provisions	1	-	2
Total Current Liabilities	34	20	174
Net Current Assets	78	123	261
Total Assets	87	135	424
Liabilities			
Share Capital	0.3	0.3	37
Reserves and Surplus	22	73	272
Total Shareholders' Funds	22	74	309
Total Debt	65	61	115
Long Term Provisions	-	-	1
Total Liabilities	87	135	424

Cashflows (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	(7)	7	54
Cash flow from Investing Activities	3	19	(273)
Cash flow from Financing Activities	6	(10)	210
Free Cash Flow	(8)	7	(104)

RATIOS			
	FY23	FY24	FY25
Profitability			
Return on Capital Employed	38.8%	86.6%	54.5%
Return on Equity	102.4%	108.3%	40.3%
Margin Analysis			
Gross Margin	21.7%	23.8%	37.1%
EBITDA Margin	9.8%	14.2%	19.6%
Net Profit Margin	6.4%	10.3%	14.1%
Short-Term Liquidity			
Current Ratio (x)	1.4	2.2	1.9
Quick Ratio (x)	1.3	2.2	1.9
Avg. Days Sales Outstanding	32.2	22.0	96.7
Avg. Days Inventory Outstanding	3.0	2.2	2.2
Avg. Days Payables	19.6	10.3	52.4
Fixed asset turnover (x)	197.7	541.1	14.6
Debt-service coverage (x)	0.3	1.1	1.0
Long-Term Solvency			
Total Debt / Equity (x)	3.0	0.8	0.4
Interest Coverage Ratio (x)	4.0	10.8	18.5
Valuation Ratios			
EV/EBITDA (x)	115.7	36.9	24.3
P/E (x)	175.4	50.3	32.9
P/B (x)	118.8	35.4	8.4
EV/Sales (x)	11.4	5.2	4.8

**Valuation ratios are based on pre-issue capital at the upper price band
Source: RHP, SSL Research*

Peer Comparison – Financials (FY25)

Particulars (Rs cr)	Solarworld Energy Solution Ltd.	Waaree Renewable Technologies Ltd.	Sterling & Wilson Renewable Energy Ltd.	KPI Green Energy Ltd.
CMP (Rs)	351	1,094	267	481
Sales	545	1,597	6,302	1,735
EBITDA	107	311	264	564
Net Profit	77	230	81	321
Mkt Cap.	3,042	11,409	6,227	9,489
Enterprise Value	2,590	11,243	6,418	10,018
EBITDA Margin (%)	19.6	19.5	4.2	32.5
Net Margin (%)	14.1	14.4	1.3	18.5
RoCE (%) - Pre-Issue/Post Issue	54.5/16.0	65.5	15.1	14.0
RoE (%) - Pre-Issue/Post Issue	40.3/12.5	50.3	8.0	12.3
P/E (x)	39.5	49.6	76.9	29.6
EV/EBITDA (x)	24.2	36.2	24.3	17.8
EV/Sales (x)	4.8	7.0	1.0	5.8

For Solarworld Energy Solutions Ltd., Market Cap, P/E(x), EV/EBITDA (x), EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of 18th September 2025 for peer companies

Source: RHP, SSL Research

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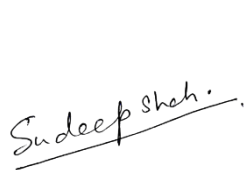
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